

UHU043: FINANCIAL & COST ACCOUNTING

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Course Objectives: The main goal of financial accounting is to create the financial statements which are useful to the external parties/various stakeholders in measuring the financial wellbeing of the businesses. Understanding these reported financial statements develops the students' ability to assess managerial performance and financial soundness of the businesses for financial decision-making at local and global level. The course will also consider the several subject areas from cost accounting: product costing and cost behaviours, budgeting, flexible budgets and performance analysis, process and unit costing and marginal costing. The course aims to

1. Develop a basic understanding of accounting concepts.
2. Develop skills to comment on the financial health of the organisation.
3. Understand how accounting information is used to make and communicate management decisions needed to run the entity.
4. To enable students to classify costs and prepare Cost Sheet.
5. Develop understanding about the different budgets as required for controlling the business operation.
6. Develop understanding about the critical managerial decision using different techniques and principles of Process Costing, ABC Analysis and Marginal costing

Accounting Concept: Introduction, Techniques and Conventions, Financial Statements- Understanding & Interpreting Financial Statements

Accounting Process: Book Keeping and Record Maintenance, Fundamental Principles and Double Entry, Journal, Ledger, Trial Balance, Balance Sheet, Final Accounts, Cash Book and Subsidiary Books, Rectification of Errors

Financial Statements: Form and Contents of Financial Statements, Analyzing and Interpreting Financial Statements, Accounting Standards.

Class Discussion: Corporate Accounting Fraud- A Case Study of Satyam

Cash Flow and Fund Flow Techniques: Introduction, How to prepare, Difference between them

Costing Systems: Elements of Cost, Cost Behavior, Cost Allocation, OH Allocation, Unit Costing, Process Costing, Job Costing, Absorption Costing, Marginal Costing, Cost Volume Profit Analysis, Budgets, ABC Analysis.

Class Discussion: Application of costing concepts in the Service Sector

Company Accounts and Annual Reports: Audit Reports and Statutory Requirements, Directors Report, Notes to Accounts, Pitfalls

Home Assignment:

Case study materials book will be given to students. Students are required to meet in groups before coming to class and prepare on the case for the day. Instructor may ask the student groups to present their analysis and findings to the class.

Further, the topic for class discussion will be mentioned beforehand and students should be prepared to discuss these topics in class. Few topics are mentioned below as examples. Instructor can add or change any topic as per requirement.

1. Topic: Corporate Accounting Fraud: A Case Study of Satyam
2. Topic: Application of costing concepts in the Service Sector

Course Learning Outcomes (CLOs) / Course Objectives (COs):

Upon completion of this course, students will be able to:

1. To create awareness about the importance and usefulness of the accounting concepts and their managerial implications.
2. To develop an understanding of the financial statements and the underlying principles and learn to interpret financial statements.
3. Develop the ability to evaluate, communicate, analyze and interpret the financial results of businesses for financial decision-making.
4. To create awareness about cost accounting, different types of costing and cost management.
5. Ability to take critical managerial decision using different techniques and principles of Marginal costing and Standard Costing.

Text Books:

1. Robert N Anthony, David Hawkins, Kenneth Marchant, *Accounting: Texts and Cases*, McGraw-Hill
2. Nigam, B.M. Lall and I.C. Jain, *Cost Accounting, Principles and Practice*, Prentice Hall of India, New Delhi.
3. Drury, Colin, *Management and Cost Accounting*, Thomson Learning.
4. Case Study Materials: To be distributed for class discussion.

Reference Books:

1. Anthony, R. N., Hawkins, D. F. and Merchant, K. A. (2013). *Accounting: Text & Cases (13th ed.)*. New Delhi, India: McGraw Hill.
2. Godwin, N.H., Alderman, C.W. and Sanyal, D. (2012). *An Innovative Approach to Learning and Teaching-Financial Accounting (1st ed.)*. New Delhi, India: Cengage Learning.
3. Lal, Jawahar and Seema Srivastava, *Cost Accounting*, McGraw Hill Publishing Co., New Delhi
4. Usry, Milton E. and Lawrence H. Hammer, *Cost Accounting, Planning and Control*, South Western Publishing Co.